

HAB ENTERPRISES 3 LLC

AUTOMOTIVE ACQUISITIONS | BUSINESS GROWTH | STRATEGIC INVESTMENT

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LETTER OF INTENT

Proposed Acquisition of True Blue Auto Care Inc

1. PURPOSE

This Letter of Intent ("LOI") sets forth the preliminary terms under which **HAB Enterprises 3 LLC** ("Buyer") intends to acquire 100% ownership interest of **True Blue Auto Care Inc** ("Company"). This LOI outlines key terms prior to execution of a definitive Purchase Agreement.

2. TRANSACTION STRUCTURE

The transaction is currently contemplated as a **Stock Purchase** of 100% of the issued and outstanding shares of the Company for a total purchase price of **\$300,000 USD**. Final structure (Stock vs. Asset Purchase) shall be determined at Buyer's sole discretion during due diligence.

3. PURCHASE PRICE & PAYMENT TERMS

Total Purchase Price	\$300,000 USD
Initial Deposit (Earnest Money)	\$15,000 (5%) deposited into escrow on or before May 16, 2026
Escrow Period	Sixty (60) days
Target Closing Date	July 16, 2026 (may close earlier upon mutual written agreement)
Remaining Down Payment	Additional \$15,000 due at closing — Total down payment: \$30,000 (10%); funds released upon successful closing

4. SELLER FINANCING (SELLER NOTE)

Remaining balance of **\$270,000** to be carried by Seller under the following terms:

Term	Up to 10 years (120 months)
Monthly Payment	\$2,250 — Due on the 5th of each month
Grace Period	Until the 15th of each month
Late Fee	10% (\$225) after the 15th
Prepayment	Allowed at any time with no penalty
Security	Seller Note secured by business assets (UCC or equivalent); final default terms and cure periods to be defined in Purchase Agreement

5. SELLER PARTICIPATION OPTION

Seller shall have the **option** (not obligation) to convert any remaining Seller Note balance (up to 100%) into an investment in future acquisitions by HAB Enterprises 3 LLC. Subject to separate written agreement. Valuation and ownership terms to be defined at time of investment. **No automatic equity conversion.**

6. ASSETS INCLUDED

Transaction includes all business assets, including but not limited to:

- Equipment (lifts, compressors, tools, etc.) and Inventory
- Business name, brand, phone numbers, website(s) and domain(s)
- Google reviews and online presence
- Customer database and vendor accounts
- Shop management system(s) and data
- Company-owned vehicles (including wrapped "True Blue" Jeep, if owned by Company)

7. LEASE CONTINGENCY

This transaction is contingent upon Buyer securing acceptable lease terms. Buyer intends to establish a long-term lease (target: **20 years** with renewal options and right of first refusal if available). Lease terms are subject to landlord approval and must be transferable and acceptable to Buyer. Failure to secure acceptable lease terms allows Buyer to terminate without penalty.

8. DUE DILIGENCE PERIOD

The escrow period shall serve as the due diligence period (minimum 30 days, up to 60 days). Buyer shall receive full access to:

- Financials (P&L, tax returns, balance sheets)
- QuickBooks and accounting systems
- Shop management system (Tekmetric or equivalent)
- Payroll records
- Vendor and parts purchase history
- Operational data and customer records

9. TRANSITION & COMPENSATION DURING ESCROW

Buyer Role	Heath Blake will be engaged in a consulting and transition capacity during the due diligence period
System Access	Buyer granted access to systems, staff, and operations for evaluation and transition planning
Compensation	HAB Enterprises 3 LLC will be compensated \$2,000/month as a 1099 independent contractor, paid by True Blue Auto Care Inc
Operational Control	Remains with Seller until closing, unless otherwise agreed in writing

10. REPRESENTATIONS & WARRANTIES

Seller shall represent and warrant in the definitive agreement:

- Financials are accurate and complete
- No undisclosed liabilities exist
- All taxes are current
- No pending or threatened litigation
- Assets are free and clear of liens (unless disclosed)

11. EXCLUSIVITY

Seller agrees to **60 days exclusivity** from the date of this LOI and will not negotiate with any other party during this period.

12. CLOSING

Target Closing Date: **July 16, 2026**, subject to:

- Completion of due diligence
- Lease approval
- Execution of definitive agreements
- Satisfaction of all conditions

13. NON-BINDING NATURE

This LOI is non-binding except for: **Exclusivity, Confidentiality** (if applicable), and the obligation of **Good Faith Negotiations**.

14. ACCEPTANCE

If acceptable, please sign and return no later than: **April 15, 2026**

BUYER	SELLER
HAB Enterprises 3 LLC	True Blue Auto Care Inc
By: _____	By: _____
Name: Heath Blake	Name: Saj Zoghet
Title: CEO / President	Title: _____
Date: _____	Date: _____

This Letter of Intent is confidential and intended solely for the named parties. It does not constitute a binding agreement except as noted in Section 13.